

SUCCESSFUL TRADES — ANNOTATED EXAMPLES

Strategy Reference: Contrarian Value with Defined Catalysts | BA · VRTX · GNRC

■ STRATEGY DESCRIPTION

Contrarian value with defined catalysts — buy sold-off, fundamentally intact businesses in protected industries where the bad news is company-specific and priced in, then hold for the re-rating.

■ INVESTOR PROFILE

Macro View	Bearish on US credit and consumer economy
Preferred Industries	healthcare, defense, consumer staples, utilities, industrials with long-cycle contracts
Avoid	high-multiple tech, consumer discretionary, financials with credit exposure, housing/auto cyclical
Holding Period Months	6-18
Target Return Pct	20-50
Acceptable Downside Pct	10-20

■ BA — Boeing Co. | Return: +10.5%

Entry Price	\$190
Current Price	\$210
Return	+10.5%
Status	open / early stage

Entry Rationale

Why It Sold Off	737 MAX production quality issues re-emerged in 2024, FAA production cap imposed, CEO departure, multiple fatal incidents damaged brand, labor strike halted production for weeks. Stock fell from ~\$265 to under \$200.
Selloff Type	Company-specific operational issues, NOT secular demand decline. Air travel demand is structurally strong and growing. Boeing has a duopoly with Airbus — there is no substitute at scale.

Is Issue Fixable	Yes — new CEO Kelly Ortberg brought in to stabilize. Production certification issues are fixable with time and investment. The backlog (5,500+ aircraft, 7-8 years of production) is intact and growing. Airlines have no alternative supplier.
Balance Sheet Assessment	Highly levered (~\$45B net debt), which is the primary risk. BUT Boeing has access to capital markets (equity raise in late 2024), government support as a critical defense contractor is implicit, and the backlog provides future cash flow visibility. Not a balance sheet that signals bankruptcy risk.
Industry Protection	Commercial aviation is a structural growth industry globally. Defense segment (roughly 30% of revenue) provides floor and is non-cyclical. FAA oversight actually creates a moat — it barriers entry.
Catalysts Identified	• Production ramp re-certification by FAA • 737 MAX production volume returning to 38/month target • 787 Dreamliner backlog monetization • New CEO execution credibility building over 4-6 quarters • Any defense contract win news
Bear Case	Regulatory action escalates to further production bans, another safety incident damages brand beyond repair, financing costs become unsustainable. Low probability but existential if occurs.

Valuation at Entry

Price To Sales	0.6x — near decade lows
Ev Ebitda	Difficult to calculate due to losses, but replacement cost of assets and backlog value implied massive discount
Analyst Consensus Target At Entry	\$220-240 average
Implied Upside At Entry	16-26%

Key Lessons

- Duopoly businesses don't go away even in crisis — the franchise survives even when operations struggle
- Management change is a powerful catalyst — new CEO with credibility resets investor confidence
- Backlog / order book is the key valuation anchor for aerospace; don't rely on near-term earnings
- High leverage is acceptable when the revenue stream is contractual and long-cycle

■ VRTX — Vertex Pharmaceuticals | Return: +15.0%

Entry Price	\$400
Current Price	\$460
Return	+15.0%
Status	open / performing

Entry Rationale

Why It Sold Off	Vertex's pain drug suzetrigine (VX-548) Phase 3 trial in acute pain showed mixed results vs. opioids. Market concern shifted to whether the drug could achieve meaningful commercial penetration. Stock pulled back 25-30% from \$530 highs on valuation and pipeline uncertainty.
Selloff Type	Pipeline disappointment on a single non-core asset (VRTX's core franchise is cystic fibrosis, not pain). Market over-extrapolated from a pain drug miss to the entire franchise — this was a valuation correction, not a fundamental impairment of the core CF business.
Is Issue Fixable	Partially — pain drug commercial potential is genuinely uncertain. But this is irrelevant to the core thesis: VRTX has a near-monopoly on cystic fibrosis treatments (Trikafta, Kaftrio), an 85%+ eligible CF patient penetration with pricing power, and a pipeline extending into kidney disease, Type 1 diabetes (VX-880/VX-264), and sickle cell.
Balance Sheet Assessment	Net cash position of ~\$10B. No debt. Extraordinary FCF generation from CF franchise. One of the cleanest balance sheets in large-cap pharma.
Industry Protection	CF drugs are not optional — patients die without them. Pricing power is durable. No competition exists at scale. Government/insurer reimbursement is secure.
Catalysts Identified	• VX-522 mRNA therapy for CF (next-gen, addresses mutations Trikafta can't) — Phase 1/2 data expected • VX-548 (pain) — commercial launch data; even modest uptake is additive • VX-880 / VX-264 (Type 1 diabetes cell therapy) — clinical readouts 2025-2026 • Inaxaplin for APOL1-mediated kidney disease — Phase 3 data • CF label expansions to younger age groups
Bear Case	IRA price negotiations target Trikafta (high-probability over 5-year horizon). Biosimilar entry into CF (low probability, very high barrier). Clinical failure across multiple pipeline assets simultaneously.

Valuation at Entry

Forward Pe	23x — premium to market but at discount to own history and fair for a near-monopoly franchise
Ev Ebitda	18x NTM — reasonable for growth + cash generation profile
Analyst Consensus Target At Entry	\$470-510 average
Implied Upside At Entry	17-27%

Key Lessons

- When the market punishes a stock for a miss in a non-core segment, check whether the core franchise is intact — often it is

- Net cash balance sheets create a floor; the stock can never go to zero and management can buy back stock or make M&A;
- Monopoly-like healthcare franchises (CF, rare disease) deserve premium multiples and will re-rate upward after any pullback if fundamentals hold
- Look for situations where the stock fell on 'fear of X' but X has not materialized in the core numbers

■ GNRC — Generac Holdings | Return: +45.7%

Entry Price	\$140
Current Price	\$204
Return	+45.7%
Status	open / strong performer

Entry Rationale

Why It Sold Off	Generac was a massive COVID-era beneficiary — demand for home standby generators exploded during 2020-2022. When the post-COVID demand normalization hit in 2023-2024, revenues fell sharply, dealer inventories bloated, and the stock collapsed from \$500 peak to \$120-140. Market treated it as a secular decline story.
Selloff Type	Classic post-cycle mean reversion. The underlying long-term demand driver (grid unreliability, extreme weather frequency, energy independence concerns, electrification of homes) is STRUCTURAL and growing. The selloff was about a demand air pocket, not permanent loss of business.
Is Issue Fixable	Yes — dealer inventory normalization is a time-limited event. Once inventory clears, shipments re-align with true underlying demand. Climate change driving more grid outage events structurally supports demand permanently above pre-COVID levels.
Balance Sheet Assessment	Net debt but manageable (~2x EBITDA at trough). FCF positive throughout the downturn. No near-term maturity concerns.
Industry Protection	Home standby generators are not glamorous but they're infrastructure-adjacent. Grid investment in the US is accelerating; paradoxically, data center power demand growth is straining grids, creating a permanent tailwind for backup power.
Catalysts Identified	• Dealer inventory normalization completion (watch quarterly channel check commentary) • Severe weather events driving demand spikes (not predictable but historically reliable) • Data center / commercial generator demand acceleration • International expansion (Europe power instability post-Ukraine) • Energy storage / clean energy product portfolio (PWRcell)

Bear Case	Inventory takes longer to clear than expected. A mild hurricane season disappoints demand. Competition from Kohler or new entrants accelerates pricing pressure. But at \$140, all of this was already priced in.
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Valuation at Entry

Forward Pe	18x trough earnings — cheap for a structural growth business with a moat
Ev Ebitda	12x — well below historical 20-25x premium
Analyst Consensus Target At Entry	\$180-200 range
Implied Upside At Entry	28-43%

Key Lessons

- Post-cycle demand normalization is NOT the same as a broken business — distinguish between air pockets and secular declines
- The best contrarian entries are when the selloff narrative is 'this was a COVID pull-forward and now it's over' — dig deeper to find structural demand drivers that make this wrong
- Inventory cycle turns are highly predictable — once dealer destocking ends, revenues recover faster than the market expects
- Strong brand + distribution network moats survive demand air pockets; weaker competitors exit and market share consolidates to leaders

■ COMMON THREADS — WHAT MAKES A GOOD ENTRY

- ✓ Stock down 30-60%+ on company-specific issue (not macro collapse)
- ✓ Core franchise/demand is intact — selloff is about near-term execution, not business model
- ✓ Clear, time-bound path to resolution of the issue that caused the selloff
- ✓ At least one or two specific, identifiable catalysts with a realistic timeline
- ✓ Industry with structural demand floor — healthcare, aerospace, power infrastructure, etc.
- ✓ Balance sheet that can survive the downturn without dilutive equity raise
- ✓ Valuation at or below historical trough multiples — you're not paying for good news
- ✓ Analyst community is confused or divided (high dispersion in price targets = opportunity)

■ RED FLAGS TO AVOID

- ✗ Secular business model disruption (e.g., print media, retail being disrupted by e-commerce) — not fixable
- ✗ Massive leverage with near-term debt maturities coinciding with the downturn
- ✗ Regulatory or legal existential risk (not just overhang — actual license-to-operate at risk)
- ✗ Management that caused the problem and hasn't been replaced

✗ Competitive advantage that has been permanently eroded (a drug that was beaten by a superior drug with no pipeline backup)

✗ A story that requires the macro to cooperate (if the stock only works if rates drop 200bps, that's a macro bet not a value bet)